BUSINESS SETUP MANUAL — CONFIDENTIAL

Sandstone Export

Complete Setup Guide with the Perpetual Chain

Mine-to-market playbook for building a quarry-integrated sandstone export house: JV structure, compliance stack, processing, proven-buyer acquisition, shipping and payment mechanics, the ethical moat, realistic economics — and the reinvestment ladder that turns a trading margin into a self-feeding, permanent business chain.

RAW MATERIAL
Partner-Owned Mines, Rajasthan

CORE PRODUCTS
Calibrated Paving · Cobbles · Sawn Premium

PRIMARY MARKETS
UK · Belgium · Germany · France

LAUNCH CAPITAL
Under ₹8L at-risk before first container

WORKING CAPITAL
₹40–60L revolving (Year 1)

YEAR-3 TARGET
10–15 containers/month · ₹1.2–2.2 Cr net

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The Perpetual Chain

Why this business compounds instead of just repeating

A trader sells containers. A chain owns every link the container passes through — and every link feeds the next. This is the structure you are building:

1. MINE Partner's quarries. Raw stone at cost — the margin moat	→	**2. PROCESSING** Job-work Year 1 → own unit Year 3 (+5–8 margin points)	→	**3. EXPORT** UK/EU importers. Repeat monthly containers = trade annuity	→	**4. CASH** Margins fund audit, fairs, processing unit, working capital
5. OWN PROJECTS Stone clads your buildings, the Kumbhalgarh resort, Mande farmstay — at mine cost	→	**6. SHOWCASE** "As built in our own resort" — a catalogue no competitor can copy	→	**7. PREMIUM BUYERS** Audit + showcase unlock Tier-1 volumes at better mix	→	**8. EXPAND SOURCE** Second quarry lease / new colors — chain restarts, larger

What makes it perpetual — four permanent forces

- **Repeat-purchase demand:** UK/EU landscaping is a replacement market — patios are re-laid, stock is re-ordered seasonally, every spring. Buyers who approve a supplier reorder for years.
- **Owned raw material:** the mine cannot be un-owned. Every future rupee of margin starts at a cost floor competitors can't reach.
- **Compounding relationships:** each fair, each audit, each on-time container adds buyers who never leave a reliable supplier — switching cost works FOR you once you're the incumbent.
- **Downstream consumption:** your own construction group is a captive customer of last resort — no dead stock, ever.

The one thing that can break the chain — fix it first: if you are only "the exporter of the partner's stone," the partner can bypass you the day your buyers are visible on shipping documents. Section 2 exists so this can never happen. Do not skip to Section 3 without executing Section 2.

2 The JV Agreement — Before Any Money Moves

The paper that makes the chain yours, not just his

2.1 — The Term Sheet Skeleton (give this to your lawyer)

Clause	What it must say	Why
Entity	New LLP or Pvt Ltd — the "Export Company". You + partner as members/ shareholders at agreed split	Neutral vehicle; neither side's existing firm owns the buyers
Exclusivity	Export Company holds EXCLUSIVE international marketing & sale rights to all output of the named mining leases, 7–10 years, renewable	Kills the bypass risk — buyers can only buy through the JV
Transfer price	Formula, not negotiation: mine-gate cost + agreed % (or fixed ₹/tonne, revised annually by index)	Every ₹20/m² here is ₹10k/container forever — lock it
Supply commitment	Minimum monthly tonnage the mines guarantee to the JV; JV gets first right over all export-grade material	You cannot promise buyers containers you can't fill
Roles	Partner: raw material, royalty/e-rawanna compliance. You: capital, processing, buyers, shipping, brand	Written roles prevent drift and blame
Capital & working capital	Who funds the ₹40–60L revolving cycle, at what interest/priority	The silent killer of partnerships is unfunded WC
Non-compete	Partner will not sell export-grade stone to any other exporter or foreign buyer during the term	Closes the side-door
Exit & deadlock	Buy-out formula (multiple of trailing profit), right of first refusal, arbitration seat	Decide the divorce terms at the wedding
Audit consent	Partner consents to third-party ethical/mining-compliance audits and to fixing findings	Your Tier-1 strategy depends on this

> **Equity logic:** a fair starting frame is 50:50 when he brings guaranteed feed-stock and you bring capital + market + operations. If he wants more, trade equity for a LOWER transfer price — margin certainty beats ownership percentage in a trading business.

2.2 — Verify the mine before you marry it

- ☐ Mining lease copy — validity dates, permitted mineral (sandstone), lease area
- ☐ Royalty payment trail + e-rawanna (transit pass) compliance for the last 12 months — buyers' audits WILL check this
- ☐ Monthly production capacity in tonnes — get 12 months of dispatch records, not a verbal number
- ☐ Stone colors/beds actually available — photograph every face; match against the 5 target SKUs
- ☐ Labour conditions as-is — PPE, wages, any minors on site: the pre-audit gap list starts here
- ☐ Existing buyers of the mine's stone — names of exporters currently lifting material, and the consignee marks on their crates (your first proven-buyer list, free)

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The Compliance Stack

Every registration, in order, with cost and time

#	Registration	Where	Time	Cost
1	**LLP / Pvt Ltd incorporation** (the JV entity)	MCA portal via CA/CS	5–10 days	₹10–20k
2	**GST registration** + **LUT filing** (Letter of Undertaking — exports become zero-rated, no IGST blocked in refunds)	GST portal	3–7 days	Nil
3	**IEC — Import Export Code**	DGFT portal (dgft.gov.in)	1–2 days	₹500
4	**Current account + AD Code** registration at the port (Mundra) through your CHA	Your bank → customs	3–7 days	Nil
5	**CAPEXIL RCMC** (export promotion council for stone — membership certificate needed for benefits & fairs)	capexil.org	7–14 days	₹10–15k/yr
6	**ECGC policy** (export credit insurance — covers buyer default)	ecgc.in	7–14 days	~₹40–60k/yr at your scale
7	**RoDTEP + Duty Drawback** registration (export incentives — small % back on every shipment)	ICEGATE	With first shipment	Nil
8	**Customs data subscription** (Volza / Export Genius) — the proven-buyer list	Online	Same day	₹30–60k/yr

Use an export CS/CA package: agents in Jaipur/Udaipur do items 1–7 as a bundle for ₹50–75k all-in. Your time goes to buyers and stone, not portals.

3.1 — The team at launch (lean)

Role	Who / cost	Note
You	Buyers, pricing, partner relationship, QC standards	The business IS these four things
Yard supervisor (Rajasthan)	₹25–35k/mo, hired from an existing stone yard	Watches processing + loading. Non-negotiable hire
CHA + freight forwarder	Per-shipment fees	Interview 3; pick for stone experience at Mundra
Part-time accountant	₹8–12k/mo	GST refunds, LC document discipline

4 Product Standard & Processing Chain

Sell exactly what the market already buys — at a tolerance it can trust

4.1 — The five launch SKUs (do not invent a sixth)

SKU	Formats	Segment
Kandla Grey	Calibrated 22mm riven — 900×600, patio packs (15.25 / 18.9 m²), setts 100×100	Volume commodity — the door-opener
Raj Green	Calibrated 22mm riven + tumbled	Mid-premium, strongest UK repeat colour
Autumn Brown	Calibrated 22mm riven	Mid
Fossil Mint	Calibrated riven + sawn & honed	Premium look, strong margins
Modak Buff	Riven + tumbled cobbles	Heritage/driveway segment

4.2 — Non-negotiable quality spec (put this in every job-work contract)

- ☐ Calibration tolerance: **22mm ±1.5mm** — measured on every 10th slab, logged
- ☐ Sizing tolerance: ±2mm on length/width; edges hand-dressed square
- ☐ Colour blending: slabs pre-blended across pallets at the yard — UK complaint #1 is colour banding between crates
- ☐ No cracked, oil-stained, or salt-bloom slabs packed — reject at yard, not at Felixstowe
- ☐ Crating: ISPM-15 fumigated timber, foam interleaving, steel strapping, **consignee mark + crate number stencilled**
- ☐ Every container: photo log of every crate open + closed + being stuffed, shared to buyer same day

4.3 — Processing: job-work first, factory later

YEAR 1 — JOB-WORK

Tie up 2 processing units (Bhilwara / Udaipur / Bundi belt)

Negotiate per-m² rates for cutting + calibration + edge finish. Two units, not one — monsoon breakdowns and festival shutdowns are real. Payment terms: 50% on delivery to yard, 50% after your QC passes the lot. Target all-in processing ₹130–200/m² depending on finish.

YEAR 3 — OWN UNIT (TRIGGER: 12+ CONTAINERS/MONTH SUSTAINED)

₹1.5–2.5 Cr: 2 gang saws / wire saw, calibration line, tumbler

Adds 5–8 margin points and control of delivery dates. Site it near the mines, not the port — stone travels better finished than raw. Do NOT build this earlier; machines idle below 12 containers/month burn cash faster than job-work premiums ever did.

4.4 — The sample kit (10 units, ~₹1.5L with courier)

Wooden mini-crate (brand impression starts here): 150×150mm pieces of all 5 SKUs in each finish, spec card with tolerances, FOB price list, quarry photos, one page on the mine-owned single-chain story. Courier: DHL/FedEx, 20–25kg per kit.

5 Buyer Acquisition — The Three-Layer Evidence Stack

Never spend a sample on an unproven door

Layer	Source	What it proves	Cost
1	**Consignee marks** on crates leaving with the partner's stone today (ask the exporters currently lifting from his mines)	Foreign companies already buying YOUR stone	Free — one phone call
2	**Customs data** (Volza/Export Genius): HS 68022100 / 68029100 / 25161200 → UK, BE, DE, FR → last 12 months → sort by shipments	Named importers, volumes, prices paid, current suppliers	₹30–60k/yr
3	**Live RFQs** — go4WorldBusiness sandstone buyer section, TradeKey, Alibaba RFQ	Buyers asking for containers this week (prioritise L/C-term inquiries)	Free to browse; ~$30–70/mo to unlock

5.1 — The target list (validated this session; confirm volumes via Layer 2)

Tier	Buyers	Approach
Tier 2 — first strike (UK)	Stone Paving Direct · Nustone · Pavestone · London Stone · Paving Stones Direct · Indistone · Global Stone	Sample kits month 3; all are direct importers, most publicly lean on ethical sourcing
Tier 3 — EU	Beltrami, Stoneasy (BE) · Excluton, Redsun (NL) · Seltra, Jonastone (DE)	After first UK container; Belgium's import volume is disproportionate
Tier 1 — post-audit only	Marshalls · Stonemarket · Talasey · Brett	6–12 month vendor onboarding; audit certificate is the entry ticket; volumes transform the P&L

5.2 — The informed first email (template)

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COLD EMAIL — SEND ONLY AFTER LAYER-2 DATA CONFIRMS THEIR PURCHASES

Subject: Kandla Grey 22mm calibrated — direct from quarry owner (audit underway)

"You currently import calibrated Kandla Grey from [their supplier, from customs data]. We OWN our quarries in
Rajasthan — single-chain custody, ETI-standard audit in progress, dispatch photos on every crate. Identical spec,
FOB Mundra: attached. A free sample crate can ship this week — what address should it go to?"
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5.3 — The 3-question kill test (before quoting any RFQ/inquiry seriously)

1. "Which port do you clear at, and who is your clearing agent?" — fakes stumble
2. "Terms are 30% T/T advance + balance L/C at sight — confirm?" — brokers evaporate
3. "What did you pay per m² on your last container?" — real importers answer in one line

> **Walk away instantly from:** first-message orders of 10+ containers · requests for 60–90 day credit · any "registration/inspection fee" · free-email addresses with no company footprint.

5.4 — Fair calendar

India Stonemart, Jaipur (Feb) — UK/EU buyers walk it; book a booth or minimum a buyer-meeting visit. **Marmomac, Verona (Sep)** — the global stone fair; visit year 1, exhibit year 2. Budget ₹3–6L per exhibited fair.

6 Shipping, Documents & Getting Paid

The mechanics that separate exporters from ex-exporters

6.1 — Commercial rules, Year 1 (non-negotiable)

- ☐ Quote **FOB Mundra only** — freight volatility is the buyer's problem until you have scale
- ☐ Payment: **30% T/T advance + 70% L/C at sight** (or CAD through bank for repeat buyers after 3 clean containers)
- ☐ Every buyer under **ECGC cover** before container two
- ☐ No open credit in year 1 — not for anyone, not for "trust building"
- ☐ Currency: price list revised quarterly; re-quote if INR moves >2% between order and shipment

6.2 — Document set per shipment (your CHA drives; you check)

Document	Issued by	Watch-out
Commercial Invoice + Packing List	You	Must match L/C wording EXACTLY — one spelling deviation = payment delay
Shipping Bill	CHA on ICEGATE	Correct HS code (68022100 calibrated) — drives RoDTEP refund
Bill of Lading	Shipping line	Consignee/notify party per L/C; "clean on board" only
Certificate of Origin	CAPEXIL / chamber	Needed for UK DCTS preferential duty where applicable
Fumigation / ISPM-15	Approved fumigator	Timber crates without it are refused at EU ports
Insurance certificate	Insurer	Even on FOB, insure yard-to-port leg

6.3 — The loading protocol (where reputations are made)

1. Yard supervisor present at every stuffing — no exceptions, including festival weeks
2. Weighbridge slip per container — overweight at Mundra = unpacking in the sun at your cost
3. Photo log: every crate number, open + sealed, container door open, half-loaded, sealed with seal number visible
4. Same-day WhatsApp album to the buyer — this single habit builds more repeat business than any discount

WORKING CAPITAL CYCLE — KNOW IT COLD

Cash out (stone + processing + crating) → Day 0–20 → Stuffed & shipped → Day 25–35 → Docs negotiated under L/C → Day 35–50 → Money in

₹4–8L revolves per container · 45–60 day cycle · 4 containers/month ≈ ₹40–60L revolving requirement

7 The Ethical Moat

The single highest-ROI investment in this entire plan

Rajasthan sandstone carries a documented reputation problem — bonded labour, child labour, silicosis. UK buying desks now procure against the ETI Base Code; Marshalls audits its Indian chain and publishes EPDs. Most exporters CANNOT prove chain custody because they buy from third-party mines. You own yours. Turn the industry's weakness into your certificate:

1. **Month 1:** commission an ETI-standard pre-audit (SGS / Intertek / UL) of the mines — gap report in 4–6 weeks
2. **Month 2–4:** fix the gaps — PPE, wage records, age verification, dust suppression, first-aid, drinking water. Typical cost ₹5–15L. Budget it without flinching
3. **Month 5–6:** full audit → certificate → it goes on every quote, kit, and email footer: **"Mine-owned. Single chain. Independently audited."**
4. **Year 2:** Environmental Product Declaration (EPD) — the spec-sheet key to architect-specified projects and Tier-1 vendor lists

8 Realistic Economics

Container truth, then the honest three-year arc

Product (per 20ft ≈ 450–500 m²)	FOB ₹/m²	Cost ₹/m² (mine-integrated)	Container profit
Riven Kandla Grey (commodity)	650–900	520–770	**₹50–90k** (12–18%)
Premium colours, better grading	850–1,200	560–820	**₹90k–1.6L** (15–22%)
Sawn / honed / tumbled	1,100–1,600	640–950	**₹1.5–2.5L** (20–28%)

Year	Containers	Revenue	Net	Profit
1 (ramp 0→4/mo; setup + fairs + audit eat margin)	25–35	₹1.2–2 Cr	8–12%	**₹12–25L**
2 (5–8/mo; EU added; better mix)	60–90	₹3–5.5 Cr	12–15%	**₹40–75L**
3 (own processing; Tier-1 entry)	120–170	₹8–12 Cr	15–20%	**₹1.2–2.2 Cr**

> **Margin levers, ranked:** 1) SKU mix — every container shifted from riven to sawn/tumbled adds ~₹1L. 2) Own processing (Year 3) +5–8 points. 3) Audit → Tier-1 volumes. 4) The transfer-price formula you sign in Week 1 — it compounds more than everything else on this page.

9 The Reinvestment Ladder — Closing the Perpetual Chain

Where each year's cash goes so the chain feeds itself

Stage	Cash goes into	Chain effect
Year 1	Audit + fairs + working capital	Proven supplier status; buyers compound
Year 2	Export manager hire · EU expansion · EPD	You step back to strategy; the trade runs without your hours
Year 3	Own processing unit (₹1.5–2.5 Cr)	+5–8 margin points; delivery control; toll-processing for other exporters = new revenue line
Year 3–4	Stone into your own builds — Kumbhalgarh resort, Mande farmstay, group projects at mine cost	The showcase no competitor can copy; catalogue shoots in your own resort
Year 5	Second quarry lease / new colours · logistics leg (yard on the Vadhvan hinterland when the port matures)	The chain restarts, larger — mine → process → export → build → showcase → premium → mine

Risk register — the six that actually kill stone exporters

Risk	Kill-switch
Partner bypass	Section 2 executed BEFORE any market spend — exclusivity + non-compete + transfer formula
Rejected container (calibration/colour)	Yard supervisor at every stuffing · photo log · ±1.5mm measured & logged · pre-blend pallets
Buyer default	30% advance + L/C at sight · ECGC on every buyer · no open credit Year 1
Currency swing	Quarterly price list · re-quote beyond 2% INR move · forward cover at Year-2 volumes
Monsoon supply gap	60-day finished-goods buffer stocked by August · two processing units
Royalty/e-rawanna lapse at mine	Compliance is partner's written obligation; quarterly reconciliation meeting — an audit finding here loses Tier-1 forever

The 90-day checklist

- ☐ **Day 1:** Partner call — exclusivity, transfer formula, 50:50; ask for lease docs + 12-month dispatch records + consignee marks of current lifters
- ☐ **Week 1:** Lawyer drafts term sheet · Volza trial · buyer sheet started (30 names)
- ☐ **Week 1–2:** Mine visit — verify stone, capacity, labour conditions; collect samples; shoot quarry photos; brief 2 job-work units; start 50 m² trial batch
- ☐ **Week 2:** SIGN the JV term sheet · incorporation + IEC + GST/LUT + AD code + CAPEXIL package started · cost sheet built (FOB/m² per SKU vs customs-data prices)
- ☐ **Week 2–3:** First domestic sales to 1–2 Jodhpur exporters (cash learning revenue) · ethical pre-audit commissioned
- ☐ **Week 3:** 10 sample kits assembled · informed emails to 15 Tier-2 buyers · kits couriered to top 5 · go4WorldBusiness RFQs answered (L/C ones first) · Stonemart booked
- ☐ **Week 4:** Follow-up calls · ECGC bound · 2 freight quotes Mundra–Felixstowe · ₹50L working capital ring-fenced
- ☐ **Day 60–90:** Trial container negotiated (30% + L/C) · stuffing under photo protocol · docs negotiated clean · money in · **reorder request = the chain is alive**

The one-line operating philosophy

Own the source, prove the chain, never ship on trust, photograph everything, and put every year's profit one link further down the chain. That is how a container trade becomes a permanent house.